

M/s. PROGEN RENEWABLES LIMITED

87 A, First Floor, Sathy Road, Muniappan Koil Street, Ganapathy, Coimbatore - 641 006.

Notes Forming part of the Financial Statement for the year ended March 31, 2025.

27.4 CLASSIFICATION OF ASSETS & LIABILITIES AS CURRENT & NON-CURRENT: -

27.4.1. An entity shall Classify an asset as current when -

- a. It is expected to be realised in, or is intended for sale or consumption in, the company's normal operating cycle;
- b. It is held primarily for the purpose of being traded;
- c. It is expected to be realised within 12 Months after the reporting date or
- d. It is cash or cash equivalent unless it is restricted from being exchanged or used to settle a liability for at least 12 Months after the reporting date.

All other assets shall be classified as non-current.

27.4.2. An entity shall classify liabilities as current when -

- a. It is expected to be settled in the company's normal operating cycle;
- b. It is held primarily for the purpose of being trading;
- c. It is due to be settled within 12 Months after the reporting date; or
- d. The company does not have an unconditional right to defer settlement of the liability for at least 12 Months after the reporting date. Terms of a liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments to not affect its classification.

All other liabilities shall be classified as non-current.

28 SIGNIFICANT ACCOUNTING POLICIES: -

28.1 FIXED ASSETS: -

28.1.1. Tangible Assets:

PPE is recognized when it is probable that future economic benefits associated with the item will flow to the company and the cost of the item can be measured reliably. PPE is stated at original cost net of tax / duty credit availed, if any, less accumulated depreciation and cumulative impairment.

Cost of an item of PPE includes Purchase cost and any cost directly attributable to bringing the assets to the "location and condition" necessary for it to be capable of operating in the manner intended by management. The Gain or Loss arising on disposal of an assets is determined as the difference between the sale of goods and the carrying amount of the asset and is recognised in the statement of profit and loss.

Depreciation is calculated on the cost of Fixed assets less their estimated residual values using the straight-line method over the estimated useful lives and is generally recognised in the statement of Profit and Loss Account. Freehold land is not depreciated

Depreciation on tangible assets is provided (on the SLM basis) over the useful lives estimated as per Schedule II of Companies Act, 2013. Depreciation for assets purchased / sold during a period is proportionately charged.